NCERT Summary: Topic 06: Market Equilibrium & Price Determination

Source Integration

- NCERT Class 12 Introductory Microeconomics, Chapter 5: Market Equilibrium

Core Factual & Conceptual Architecture

1. The Concept of Market Equilibrium

- Market Equilibrium: A state where the intended plans of buyers and sellers coincide, clearing the market with zero unintended surplus or shortage.
- Equilibrium Price (p*): The market-clearing price where aggregate quantity demanded equals aggregate quantity supplied.
- Equilibrium Quantity (q*): The volume bought and sold at the market-clearing equilibrium price.
- Geometric Representation: The exact coordinate intersection of the downward-sloping market demand curve (DD) and the upward-sloping market supply curve (SS).

2. Disequilibrium & The Invisible Hand Mechanism

- Excess Demand (Shortage): Occurs when market price is below equilibrium price ($P < p^*$), causing quantity demanded to exceed quantity supplied.
  - Price Adjustment: Buyers compete for scarce units, bidding prices up until quantity demanded contracts, quantity supplied expands, and equilibrium is restored.
- Excess Supply (Surplus): Occurs when market price is above equilibrium price ($P > p^*$), causing quantity supplied to exceed quantity demanded.
  - Price Adjustment: Sellers compete to unload unsold stock, discounting prices downward until quantity demanded expands, quantity supplied contracts, and equilibrium is restored.
- The Invisible Hand: Adam Smith's decentralized coordination mechanism where self-interested buyers and sellers automatically guide prices to equilibrium without central administrative command.

3. Equilibrium Dynamics under Curve Shifts

- Single-Curve Movements:
  - Demand Shift Right: Equilibrium price rises; equilibrium quantity rises.
  - Demand Shift Left: Equilibrium price falls; equilibrium quantity falls.
  - Supply Shift Right: Equilibrium price falls; equilibrium quantity rises.
  - Supply Shift Left: Equilibrium price rises; equilibrium quantity falls.
- Simultaneous Dual Shifts: The final direction of price or quantity depends on the relative magnitudes of the respective curve shifts.

4. Long-Run Industry Dynamics with Free Entry and Exit

- Presence of Super-Normal Profits: Induces outside firms to enter the industry, shifting aggregate market supply outward to the right, driving price down until excess profits are eliminated.
- Presence of Losses: Drives unprofitable firms to exit, shifting market supply inward to the left, raising prices until remaining enterprises earn normal profit.
- Long-Run Benchmark: Price converges to the minimum point of the Long-Run Average Cost (LRAC) curve.

5. Policy Interventions: Administered Price Controls

- Price Ceiling (Maximum Legal Price):
  - Set strictly below the market-clearing equilibrium price to make essential commodities affordable to vulnerable consumers (e.g., essential pharmaceuticals, PDS staples).
  - Economic Consequence: Induces persistent excess demand (shortages),

necessitating administrative rationing systems (quotas, ration coupons) or creating black markets.

- Price Floor (Minimum Legal Price):
  - Set strictly above the market-clearing equilibrium price to protect producer incomes (e.g., Minimum Support Price [MSP] for agricultural crops, statutory minimum wages).
  - Economic Consequence: Generates persistent excess supply (unsold surpluses), requiring public procurement bodies (e.g., Food Corporation of India) to purchase and store excess stocks.
- Economic Incidence of a Unit Tax:
  - Shifts the firm supply curve upward and to the left by the tax value.
  - Raises buyer prices, lowers net seller revenues, and contracts traded quantity.
  - The relative elasticity of demand versus supply determines the tax incidence: the more inelastic side of the market bears a disproportionate share of the tax burden.

✍ Notes & Updates